UNIT 15 NON-BANKING FINANCIAL INSTITUTIONS

Structure

15.0 OBJECTIVES

Having completed this unit, you will be able to:

- explain the concept of non-banking financial institutions;
- distinguish between banks and NBFIs;
- describe the functions and importance of NBFIs;
- describe different categories of NBFIs-NBFCs, HFCs, AIFIs, PDs;
- analyse the size and working of NBFIs;
- discuss the regulatory mechanism of NBFCs; and
- examine the issues and concerns related to NBFIs.

15.1 INTRODUCTION

We have already discussed the financial system in Block 1. You may recall that it implies a set of complex and closely connected or interlinked financial institutions, agents, practices, markets, transactions, claims, and liabilities in the economy. Non-Banking Financial Institutions (NBFIs) are also a constituent of the institutional structure of the organized financial system in India. They provide liquidity and safety to financial assets and help to transfer funds from ultimate lenders to ultimate borrowers for productive purposes. NBFIs have evolved as an important alternate source of credit in the Indian economy. They complement the mainstream banking system in the process of financial intermediation. They increase capital formation and consequently lead to economic growth.

The NBFI sector is characterised by its heterogeneity. It is heterogeneous in terms of size, business spread and ownership. World over, there is an awakening, after the great financial crisis 2008. This awakening has led to enhanced attention, monitoring and regulation of the non-banking financial sector. The *Financial Stability Board* (FSB) came into existence to address vulnerabilities and to develop and implement strong regulatory, supervisory and other policies in the interest of financial stability. In this unit, you will study the various facets of non-bank financial institutions.

15.2 CONCEPT OF NON-BANKING FINANCIAL INSTITUTIONS (NBFIs)

NBFIs comprise a mixed bag of institutions, ranging from leasing, factoring, and venture capital companies to various contractual savings and institutional investors (pension funds, insurance companies, and mutual funds). These specialised intermediaries leverage on lower transaction costs, financial innovations and regulatory arbitrage. NBFIs facilitate bank-related financial services, such as investment, risk pooling, contractual savings, and market brokering. They provide services not necessarily suited to banks and specialize in sectors or groups.

The world over, non-banking financial entities complement the mainstream banking system in the process of financial intermediation. Regarded as shadow banks by the Financial Stability Board (FSB) –"entities and activities (fully or partially) outside the regular banking system" , these specialised intermediaries leverage on lower transaction costs, financial innovations and regulatory arbitrage. The shadow banking sector in India primarily includes NBFCs and collective investment vehicles such as money market funds, fixed income funds, mixed funds, real estate funds, and securitisation-based credit intermediation like securitisation vehicles and structured finance vehicles.

15.2.1 Difference between Commercial Banks and NBFIs

As we know, a Commercial Bank is an organization that accepts cash deposits from customers and then provides financial services like bank accounts, loans, share trading accounts, mutual funds, etc. Commercial Banks and NBFIs are very important constituents of the financial system of a country. Despite certain similarities, commercial banks differ from non-bank financial institutions (NBFIs) on the following grounds:

i) As distinct from commercial and cooperative banks, NBFIs are a heterogeneous category of financial institutions. Commercial Banks form a homogeneous group doing banking business.

ii) NBFIs cover a wide field of institutions ranging from highly specialised ones such as development banks to simple organisations like mutual saving societies. The NBFIs focus on niche areas of business addressing specific needs of customers. Therefore, the Reserve Bank has classified varieties of specific types of NBFIs separately and regulates each type differently.

(iii) Usually, commercial banks are confined to only short-term loans in the money market. NBFIs are spread over the entire range of financial markets supplying short, medium and long-term credit. However, now days commercial banks also provide short-term, medium-term and long-term credit to all sectors of the economy as well as all segments of the society.

(iv) Commercial banks generate multiple expansions of credit. NBFIs only mobilise savings for investment. Commercial banks' credit creation is determined by the availability of excess reserves and the cash reserve ratio. The rate of interest has little significance in this matter. On the other hand, NBFIs' operations and saving mobilisation processes are largely governed by the structure of the rate of interest. NBFIs have to pay high interest to attract more funds. People invest their savings with NBFIs with the economic motive of earning extra income.

(v) Credit creation activities of the banks involve less time, while the lending activities of the non-bank intermediaries involve longer time.

(vi) Non-bank intermediaries can influence liquidity and create economic destabilisation in the economy when there are changes in the structure of portfolios held by the NBFIs or when financial claims on the NBFIs are increasing at the cost of banks' demand deposits.

(vii) The NBFIs can be advantageous due to their ability to lower transaction costs, quick decision-making capabilities, customer orientation and prompt provision of services. In terms of products and services offered, the NBFIs complement the banks.

The distinction between the two has been highlighted by *R. S. Sayers*, by characterising the former as '*creators' of credit*, and the latter as mere '*purveyors' of credit.* This distinction arises from the fact that banks, which are part of the payment system, can create deposits and credit but the non-banking institutions, which are not part of the payment system, can lend only out of the resources put at their disposal by the savers. To sum up, commercial banks and NBFIs both play a significant role in the economy's progress.

15.3 FUNCTIONS AND IMPORTANCE OF NBFIs

NBFIs provide some or all of the following core financial services. These services are often offered in combinations. These functions are:

a) mobilization of savings,

b) channelization of funds into investment,

c) brokers of loanable funds,

d) stabilize the capital market, and

e) provide liquidity.

Some financial institutions provide *payment services* by issuing claims that can be used in settling transactions. *Liquidity* is the ease with which an asset's full market value can be realized once a decision to sell has been made. Financial institutions enhance liquidity through specialization and scale. *Divisibility* is the extent to which an asset can be traded in small denominations. Financial institutions break up large denomination (lumpy) claims and aggregate small denomination claims to meet the divisibility preferences of the community. *Providing economies of scale in processing and assessing risks* is an important role of financial institutions. Risk pooling is the extent to which an asset spreads the default risk of the underlying promises by pooling. By pooling assets, financial institutions have much more scope to pool risk in comparison to individuals.

Importance of NBFIs: NBFIs can protect economies from financial shocks. *Alan Greenspan* has identified the role of NBFIs in strengthening an economy, as they provide "multiple alternatives to transform an economy's savings into capital investment (which) act as backup facilities should the primary form of intermediation fail." NBFIs play a range of roles that are not suitable for banks and through their provision of liquidity, divisibility, informational efficiencies, and risk pooling services, they *broaden the spectrum of risks available to investors*. In this way, they encourage and improve the efficiency of investment and savings. By providing a broader range of financial instruments, they can foster a risk management culture by attracting customers who are least able to bear risks and fill the gaps in financial services that otherwise occur in bank-based financial systems.

The development of financial intermediaries *contributes strongly to economic growth*. That contribution is increased where intermediation is provided through a balanced combination of NBFIs and commercial banks – in particular, there is a strong correlation between the depth and activeness of non-banks and stock markets on the one hand, and economic development on the other. NBFIs have played an important role in the Indian financial system by complementing and competing with commercial banks, and by bringing efficiency and diversity into financial intermediation. NBFIs have evolved considerably in operations, heterogeneity, asset quality and profitability, and regulatory architecture. In India, they often play an important role because of their ability to:

a) reach out to inaccessible areas; and

b) act as not just complements but also substitutes to commercial banks when the banks are confronted with stricter regulatory constraints.

Customers tend to find the non-banking entities convenient due to their quicker decision-making ability, prompt provision of services and expertise in niche segments. Apart from widening the ambit of and access to financial services, they also *enhance the resilience of the financial system* by acting as backup institutions when banks come under stress.

15.4 SIZE AND STRUCTURE OF NBFIs IN INDIA

NBFIs are regulated by the Reserve Bank. They comprise of:

1) **Non-banking financial companies (NBFCs):** They include government and private entities and play an important role in financial intermediation, including niche activities like micro-finance, factoring and FinTech.

2) **Housing Finance Companies (HFCs):** They extend housing finance to individuals, cooperative societies and corporate bodies.

3) **All India financial institutions (AIFIs):** The National Bank for Agriculture and Rural Development (NABARD); the Export-Import Bank of India (EXIM Bank); the Small Industries Development Bank of India (SIDBI); the National Housing Bank (NHB); and National Bank for Financing Infrastructure and Development (NaBFID) are the apex financial institutions (FIs) which provide long-term funding to agriculture, foreign trade, small industries, housing finance companies and infrastructure, respectively.

4) **Primary dealers (PDs):** Market makers in the government securities (G-secs) market.

Table 15.1: Structure and Size of NBFIs under RBI regulation

S.No.	Category of NBFIs	Number of institutions (Provisional)
1	All India Financial Institutions	5
2	Non-banking Financial Companies	9480
2a	Deposit-taking NBFC (NBFCs-D)	26
2b	Non-Deposit taking NBFC (NBFCs-ND)	9330

	Non-deposit taking Systematically important NBFCs (NBFCs-ND-SI)	507
	Other NBFCs-ND	8823
2c	Asset Reconstruction companies	27
2d	Housing Finance Companies	97
3.	Primary Dealers	21
3a	Bank PDs	14
3b	Standalone PDs	7

Notes: *Number of NBFCs is at end September 2023, HFCs is at end March 2023

Non-deposit taking NBFCs with asset size of 5 crores or more are called non-deposit-taking Systematically important NBFCs (NBFCs-ND-SI)

Source: RBI (2023). "Report on trend and progress of Banking in India-Non-Banking Financial Institutions" (December 2023) Retrieved from
https://rbi.org.in/Scripts/PublicationsView.aspx?id=22352

15.5 NON-BANKING FINANCIAL COMPANIES (NBFCs)

According to RBI: *"a Non-Banking Financial Company (NBFC) is a company registered under the Companies Act, 1956 engaged in the business of loans and advances, acquisition of shares/stocks/bonds/debentures/ securities issued by Government or local authority or other marketable securities of a like nature, leasing, hire-purchase, insurance business, chit business but does not include any institution whose principal business is that of agriculture activity, industrial activity, purchase or sale of any goods (other than securities) or providing any services and sale/purchase/ construction of the immovable property. A non-banking institution which is a company and has principal business of receiving deposits under any scheme or arrangement in one lump sum or instalments by way of contributions or in any other manner is also a non-banking financial company (Residuary non-banking company)".*

NBFCs are an integral part of the Indian financial system. They include diverse entities, both government and private, and play an important role in credit intermediation, including niche activities like micro-finance, factoring and FinTech. Over the last decade, NBFCs have witnessed phenomenal growth.

In 2023, the contribution of NBFCs to India's gross domestic product (GDP) stood at 12.60% and accounted for almost 30% market share of the total non-food credit in the country. (RBI, 2024). NBFCs have emerged as a crucial source of finance for a large segment of the population, including micro, small and medium enterprises (MSMEs), and economically unserved and underserved populations. From being around twelve per cent of the balance sheet size of commercial banks (2010), they are now more than a quarter of the size of commercial banks. While the development of a robust non-bank intermediation channel provides a good 'spare tyre' to the economy, unbridled growth fueled by a lighter regulatory framework can also lead to potential systemic risks. To counter that, RBI has introduced Scale Based Regulation (SBR) in October 2022.

With the implementation of SBR, NBFCs have been segregated into four layers, namely, a Base Layer (NBFC-BL), a Middle Layer (NBFC-ML), an Upper Layer (NBFC-UL) and a Top Layer (NBFC-TL), based on size, activity, and the perceived level of riskiness. The top ten eligible NBFCs in terms of asset size shall always reside in the upper layer, along with other NBFCs that are identified on the basis of a set of parameters and scoring methodology. Accordingly, 15 NBFCs (including five HFCs) have been placed in the upper layer and are subjected to enhanced regulatory oversight. The top layer remains empty unless the Reserve Bank identifies a considerable rise in potential systemic risk from any NBFC in the upper layer, which will be moved to the top layer. We will discuss more about Scale based regulation in Sub-section 15.5.3. Under the new regulatory framework, NBFCs are classified into 11 categories based on activities undertaken. The categorization can be understood with the help of Table 15.2.

Table 15.2: Classification of NBFCs based on activities undertaken under the new regulatory framework

Types of NBFCs	Activity	Layer
NBFC-Investment and Credit Company (NBFC-ICC)	Lending which supports productive/economic activities and acquisition of securities for investment.	Any layer, depending on the parameters of the scale-based regulatory frame-work.
NBFC-Infrastructure Finance Company (NBFC-IFC)	Infrastructure loans.	Middle layer or Upper layer, as the case may be
NBFC-Core Investment Company (CIC)	Investment in equity shares, preference shares, debt, or loans of group companies.	Middle layer or Upper layer, as the case may be
NBFC-Infrastructure Debt Fund (NBFC-IDF)	Facilitation of flow of long-term debt post commence-ment operations date (COD) infrastructure projects which have completed at least one year of satisfactory performance and finance toll operate transfer project as the direct lender	Middle layer

NBFC-Micro Finance Institution (NBFC-MFI)	Providing collateral-free small ticket loans to economically disadvantaged groups.	Any layer, depending on the parameters of the scale-based regulatory framework
NBFC-Factors	Acquisition of receivables of an assignor or extending loans against the security interest of the receivables at a discount	Any layer, depending on the parameters of the scale-based regulatory framework
NBFC-Non-Operative Financial Holding Company (NBFC-NOFHC)	Facilitation of promoters/ promoter groups in setting up new banks	Base layer
Mortgage Guarantee Company (MGC)	Undertaking of mortgage guarantee business.	Any layer, depending on the parameters of the scale-based regulatory framework
NBFC-Account Aggregator (NBF-CAA)	Collecting and providing information about a customer's financial assets in a consolidated, organised, and retrievable manner to the customer or others as specified by the customer	Base layer
NBFC–Peer-to-Peer Lending Platform (NBFC-P2P)	Providing an online platform to bring lenders and borrowers together to help mobilise funds.	Base layer
NBFC-Housing Finance Company (NBFC-HFC)	Financing for purchase/ construction/ reconstruction/ renovation/ repairs of residential dwelling units.	Middle layer or Upper layer, as the case may be.

Source: RBI (2023). "Report on trend and progress of Banking in India-Non-Banking Financial Institutions" (December 2023) Retrieved from https://rbi.org.in/Scripts/PublicationsView.aspx?id=22352

15.5.1 Ownership Pattern of NBFCs

The NBFC sector is dominated by non-deposit-taking systemically important NBFCs (NBFCs-ND-SI), with a share of 85.4 per cent in the total assets of the sector at the end of March 2023. This category mainly consists of non-government companies, although a few large government companies have a significant share in assets. Deposit-taking NBFCs (NBFCs-D) accounted for 14.6 per cent of the total assets of the NBFCs at end-March 2023. This category is dominated by non-government public limited companies, comprising 88 per cent of the total assets of NBFCs-D. As deposits accepted by NBFCs-D are not insured by the Deposit Insurance and Credit Guarantee Corporation (DICGC), the Reserve Bank has adopted a cautionary approach, mandating that NBFCs-D with minimum investment grade rating for their fixed deposits shall accept fixed deposits from the public up to a limit of 1.5 times of their NOF and for a tenure of 12 to 60 months only, with interest rates capped at 12.5 per cent. In May 2022, it was mandated that a minimum investment grade credit rating of 'BBB-' from any of the SEBI-registered credit rating agencies would be necessary for deposits of NBFCs.

15.5.2 Financial Indicators of NBFCs

In 2022-23, the aggregate income of NBFCs grew steeply, led by interest income. Fund-based resources have contributed around 90% of NBFCs total income. Expenditure was driven by interest expenses (around one-third of their total expenditure during 2022-23) and operating costs (around one-fourth of the total). In 2022-23, net profits of NBFCs grew significantly because of a slower increase in expenditure as compared to income. This also indicates the operational efficiency of NBFCs. Along with net profits, key profitability indicators i.e., return on assets (ROA), return on equity (RoE) and net interest margin (NIM) improved during 2022-23.

15.5.3 Regulatory Mechanism for NBFCs

India had understood the sector's relevance and the risks that it may pose, way back in the early 1960s, when, in 1963, Chapter III B dealing with regulation of the Non-Banking Financial Institutions was added to the Reserve Bank of India Act 1934. It recognised that non-banking financial activity is an integral part of the financial system and complements commercial banking; only appropriate vigilance and due diligence will be needed to regulate this sector.

Changes to the regulations concerning the NBFC sector over the last decade and a half have largely been incremental. However, in 2023, RBI released a detailed regulatory Structure under Scale Based Regulation. As we have discussed earlier also, the Regulatory structure for Non-Banking Financial Companies (NBFCs) comprises four layers based on their size, activity and perceived riskiness. NBFCs in the lowest layer are known as NBFCs-Base Layer (NBFCs-BL). NBFCs in the middle layer and upper layer are known as NBFCs-Middle Layer (NBFCs-ML) and NBFCs Upper Layer (NBFCs-UL), respectively. The Top Layer is ideally expected to be empty and is known as NBFCs-Top Layer (NBFCs-TL).

The Base Layer comprise (a) non-deposit-taking NBFCs below the asset size of ₹1,000 crore and (b) NBFCs undertaking the following activities — (i) NBFC-Peer to Peer Lending Platform (NBFC-P2P), (ii) NBFC-Account Aggregator (NBFC-AA), (iii) Non-Operative Financial Holding Company (NOFHC) and (iv) NBFC not availing public funds and not having any customer interface.

The Middle Layer consist of (a) all deposit-taking NBFCs (NBFCs-D), irrespective of asset size, (b) non-deposit-taking NBFCs with asset size of ₹1,000 crore and above and (c) NBFCs undertaking the following activities (i) Standalone Primary Dealer (SPD), (ii) Infrastructure Debt Fund-Non-Banking Financial Company (IDF-NBFC), (iii) Core Investment Company (CIC), (iv) Housing Finance Company (HFC) and (v) Non-Banking Financial Company-Infrastructure Finance Company (NBFC-IFC).

Upper Layer: The Upper Layer comprise those NBFCs which are specifically identified by the Reserve Bank as warranting enhanced regulatory requirements based on a set of parameters and a specific scoring methodology. The top ten eligible NBFCs in terms of their asset size always reside in the upper layer, irrespective of any other factor.

Top Layer: The Top Layer will ideally remain empty. This layer can be populated if the Reserve Bank is of the opinion that there is a substantial increase in the potential systemic risk from specific NBFCs in the Upper Layer. Such NBFCs shall move to the Top Layer from the Upper Layer.

As the regulatory structure envisages scale-based as well as activity-based regulation, the following prescription applies with respect to the NBFCs.

- NBFC-P2P, NBFC-AA, NOFHC and NBFC not availing public funds and not having any customer interface always remain in the Base Layer of the regulatory structure.

- NBFC-D, NBFC-CIC, NBFC-IFC and HFC are included in the Middle Layer or the Upper Layer (and not in the Base layer), as the case may be.

- SPD and IDF-NBFC always remain in the Middle Layer.

- The remaining NBFCs, viz., NBFC-Investment and Credit Companies (NBFC-ICCs), NBFC-Micro Finance Institutions (NBFC-MFIs), NBFC-Factors and Mortgage Guarantee Companies (MGCs) could lie in any of the layers of the regulatory structure depending on the parameters of the scale based regulatory framework.

- Government-owned NBFCs are placed in the Base Layer or Middle Layer, as the case may be.

- Multiple NBFCs in a Group - Classification in Middle Layer. NBFCs that are part of a common Group or are floated by a common set of promoters are not viewed on a standalone basis. The total assets of all the NBFCs in a Group are consolidated to determine the threshold for their classification in the Middle Layer. If the consolidated asset size of the NBFCs in the Group is ₹1000 crore and above, then each NBFC-ICC, NBFC-MFI, NBFC Factor and NBFC-MGC lying in the Group are classified as an NBFC in the Middle Layer and consequently, regulations as applicable to the Middle Layer shall are applicable to them. However, NBFC-D, within the Group, is also governed under the Non-Banking